

Protecting Your Financial Independence

The first step in protecting your financial independence is to make sure you have a rock-solid defense. It takes an enormous amount of hard work and years of effort to become a millionaire; you don't want to lose it all overnight because you didn't take the time to properly protect it. That protection comes in the form of insurance. I know that insurance isn't the most exciting purchase you could make with all that hard-earned money, but you don't want to work thirty years for something only to have a lawsuit-happy scumbag drive off with it after a minor fender-bender. There are eight types of insurance you need to add to your financial plan. The ins and outs of insurance are more than we can get into here, but I at least want to give you a heads-up on these eight key pieces of your wealth-building puzzle:

1. Term Life Insurance
2. Car Insurance
3. Homeowners or Renter's Insurance
4. Umbrella Policy (extra liability coverage)
5. Health Insurance
6. Long-Term Disability Insurance
7. Long-Term Care Insurance (age sixty and up)
8. Identity Theft Protection

If you don't have all of these in place, I want you to call your insurance agent *today*.

Besides insurance, you also need to make sure you've got your bridge period covered. I talked about this in chapter 8. As a quick reminder, if you think you'll want to retire before age fifty-nine and a half, you need to have some money set aside separate from your 401(k), IRA, and other retirement funds. I recommend opening a regular mutual fund and contributing over